Building Winning Algorithmic Trading Systems (Davey) — Concept Quiz — ANSWER KEY

Name: _____ Date: _____ Score: ____ / 30 questions (one underline = one missing word or short phrase)

Introduction & Chapters 1–3

1. Davey calls a trading system a **strategy**, and a mechanical system is also called **algorithmic**.

2. Wiest's scale trading amounts to averaging **down**, which Davey later called his "**wild man**" approach.

3. Picking the best of 20–25 instruments was optimizing on the **market**, and he ran no **correlation** study.

Chapters 4–7

4. On the "BS meter," the highest reading is for trading system **vendors**; the lowest is the experienced **DIY** developer.

5. The four testing methods: historical back testing, **out-of-sample testing**, **walk-forward testing** and real-time testing.

6. Walk-forward stitches together many **out-of-sample** periods, and the first one should be done by **hand**.

7. Monte Carlo is sampling with **replacement**; it assumes trades are **independent**, which a **Durbin Watson** test can check.

8. Return/drawdown is a version of the **Calmar** ratio, properly measured over **three** years.

Chapters 8–11

9. To avoid the blind-squirrel scenario: use a **logical** basis, keep it **simple**, and optimize **gently**.

10. SMART stands for Specific, Measurable, **Attainable**, **Relevant** and Time bound.

11. Van Tharp's random-entry study showed that **exits** matter more than entries.

12. TradeStation and Kinetick use the **settlement** price for daily bars; CQG uses the **last price traded**.

13. On forex data use only **market** orders, to avoid **phantom** fills.

Chapters 12–15

14. Exit tests pair the exit with a **similar**-approach entry, or with a **random** entry.

15. MFE and MAE stand for maximum **favorable** excursion and maximum **adverse** excursion.

16. A system profitable in under 30% of iterations gets the George **Costanza** reverse; 30–70% is "**no man's** land."

17. The monkey tests are named after Burton **Malkiel**'s book "A **Random Walk** Down Wall Street."

18. Walk-forward can be **anchored** (fixed start) or **unanchored** (moving start); Davey prefers the latter.

19. Avoid buy fills at the **low**, sell fills at the **high**, and exotic bars such as **Renko**.

Chapters 16–20

20. Martingale means you **double** your bet after every loss.

21. Losing systems cannot become **winners**, but winning systems can become **losers**.

22. Reversal entries make the euro strategies a type of mean **reversion**; Davey likens the edge to a **rubber** band.

23. To combine strategies in Monte Carlo, use **daily** results rather than individual trades.

24. A quit point should be based on the **system** you trade, written **down**, and **followed**.

Chapters 21–25

25. If the open trade is a **loser**, Davey enters it; if it is a **winner**, he waits for the next signal.

26. After a mishap, sync positions using **market** orders; breaking the rules means you are just **gambling**.

27. Return efficiency is actual divided by **expected**; strategies that perform "too good" revert to the **mean**.

28. A winning system can show **negative** results for a while because of the order of **trades**.

29. "Beware of **gurus** who don't trade"; Cal's lesson is Keep It **Simple**, Stupid.

30. Demo success has practically zero **correlation** with real-money results (Don Demo).